Meanwhile, the buy-and-hold indexers have the benefits of compounding on all of their gains. Over time, the tax disadvantage has a tremendous impact on your net returns. This is a hefty price to pay for the small chance of getting the stock picks right.

This is a huge bogie to overcome. You don't only have to get your stock picks, and your entries and exits right, but you must exceed a "vig" of anywhere from ~24% to ~45% on the transaction due to realized gains caused by the exit *just to break even*.

Imagine, around the turn of the century, your best friend invested $10,000 in the S&P 500 and held on through last year. They would have amassed $76,266. That number includes taxes paid annually on whatever dividends came their way at the highest taxable bracket.

Compare that with you, the World's Greatest Trader®. Had you put that $10,000 into a trading account that same year and annually crushed the S&P 500 by 400 basis points, you would have amassed an after-tax return of only $69,197.

In other words, your passive-index buddy would have beaten you, the World's Greatest Trader®, by about 10%. (Note that I am ignoring all of your trading costs.)

The number-crunching for this analysis comes from my colleague Michael Batnick. When he first ran the numbers, he spent a few hours rubbing his head in astonishment. We tried hard to pick holes in it. Sure, it's well established that passive beats active most of the time before taxes. Once we added in the big slice of the pie to Uncle Sam, active trading began to look downright silly. Makes you wonder why anyone would engage in such a ridiculous hobby!

What if you were the World's Greatest Market Timer®?

Same scenario, different skillset: You, the individual investor, have an uncanny ability to sell high and buy low. Your prescience allows you to buy